AXIS Specialty Insurance Limited

Financial Statements and
Independent Auditors' Report

December 31, 2024

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INDEPENDENT AUDITOR'S REPORT

To the Board of Directors and Shareholders of
AXIS Specialty Insurance Limited

Opinion

We have audited the financial statements of AXIS Specialty Insurance Limited (the "Company"), which comprise the balance sheet as of December 31, 2024, and the related statements of operations and comprehensive income, changes in shareholders' equity, and cash flows, for the period from August 19, 2024 (date of incorporation) to December 31, 2024, and the related notes to the financial statements (collectively referred to as the "financial statements").

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024, and the results of its operations and its cash flows for the period from August 19, 2024 (date of incorporation) to December 31, 2024 in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (US GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Company and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a period of one year after the date that the financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion.

Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with US GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

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INDEPENDENT AUDITOR'S REPORT (Cont'd)

In performing an audit in accordance with US GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. Accordingly, no such opinion is expressed.

- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.

- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Company's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Management has omitted disclosure of short-duration contracts that accounting principles generally accepted in the United States of America requires to be presented to supplement the basic financial statements. Such missing information, although not a part of the basic financial statements, is required by the Financial Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. Our opinion on the basic financial statements is not affected by this missing information.

Deloitte Ltd.

April 29, 2025

AXIS SPECIALTY INSURANCE LIMITED
BALANCE SHEET
December 31, 2024
(In thousands of U.S. dollars)

		2024
Assets		
Investments:		
Fixed maturities, available for sale, at fair value	$	2,176,635
(Amortized cost 2024: $2,217,836; Allowance for expected credit losses 2024: $152)		
Fixed maturities, held to maturity, at amortized cost		225,704
(Fair value: 2024: $218,493; Allowance for expected credit losses 2024: $nil)		
Mortgage loans, held for investments, at fair value (Allowance for expected credit losses 2024: $1,437)		72,014
Short-term investments, at fair value		197
Total investments		2,474,550
Cash and cash equivalents		1,440
Restricted cash and cash equivalents		46,727
Accrued interest receivable		17,732
Insurance balances receivable from affiliates		171,333
Deferred acquisition costs		63,402
Funds withheld by affiliates		292,573
Receivable for investments sold		2,539
Deferred tax asset		51,227
Total assets	$	3,121,523
Liabilities		
Reserve for losses and loss expenses	$	1,690,744
Unearned premiums		719,602
Other liabilities		42,793
Total liabilities		2,453,139
Shareholder's Equity		
Common shares		1,000
(Authorized 1,000,000 common shares, par value $1.00)		
Issued and outstanding 2024: 1,000,000)		
Additional paid-in capital		700,000
Accumulated other comprehensive income (loss)		(32,428)
Retained earnings		(188)
Total shareholder's equity		668,384
Total liabilities and shareholder's equity	$	3,121,523

See accompanying notes to Financial Statements.

AXIS SPECIALTY INSURANCE LIMITED
STATEMENT OF OPERATIONS AND COMPREHENSIVE INCOME
For the period from August 19, 2024 (date of incorporation) to December 31, 2024
(In thousands of U.S. dollars)

	2024
Revenues	
Gross premiums written	$ 719,602
Change in unearned premiums	(719,602)
Premiums earned	—
Total revenues	—
Expenses	
General and administrative expenses	188
Total expenses	188
Loss before income taxes	(188)
Income tax benefit	—
Net loss	(188)
Other comprehensive income (loss), net of tax:	
Available for sale investments:	
Unrealized gains (losses) arising during the period for which an allowance for expected credit losses has not been recognized	(32,331)
Unrealized gains (losses) arising during the period for which an allowance for expected credit losses has been recognized	(97)
Adjustment for reclassification of net realized (gains) losses and impairment losses recognized in net income	—
Unrealized gains (losses) arising during the period, net of reclassification adjustment (nil tax)	(32,428)
Total other comprehensive income (loss), net of tax	(32,428)
Comprehensive income (loss)	$ (32,616)

See accompanying notes to Financial Statements.

AXIS SPECIALTY INSURANCE LIMITED
STATEMENT OF CHANGES IN SHAREHOLDER'S EQUITY
For the period from August 19, 2024 (date of incorporation) to December 31, 2024
(In thousands of U.S. dollars)

	2024
Common shares	
Balance at beginning of period	$ —
Shares issued during the period	1,000
Balance at end of period	1,000
Additional paid-in capital	
Balance at beginning of period	—
Capital contribution by parent during the period	700,000
Balance at end of period	700,000
Accumulated other comprehensive income (loss)	
Unrealized gains (losses) on available for sale investments:	
Balance at beginning of period	—
Unrealized gains (losses) arising during the period, net of reclassification adjustment	(32,428)
Balance at end of period	(32,428)
Retained earnings	
Balance at beginning of period	—
Net loss for the period	(188)
Balance at end of period	(188)
Total shareholder's equity	$ 668,384

See accompanying notes to Financial Statements.

AXIS SPECIALTY INSURANCE LIMITED
STATEMENT OF CASH FLOWS
For the period from August 19, 2024 (date of incorporation) to December 31, 2024
(In thousands of U.S. dollars)

	2024
Cash flows from operating activities:	
Net loss	$ (188)
Adjustments to reconcile net loss to net cash provided by operating activities:	
Transfer of cash and cash equivalents as part of novation and capital transfers (see note below)	47,167
Other items	188
Net cash provided by operating activities	47,167
Cash flows from financing activities:	
Shares issued during the period	1,000
Net cash provided by financing activities	1,000
Increase in cash and cash equivalents and restricted cash	48,167
Cash and cash equivalents and restricted cash, beginning of period	—
Cash and cash equivalents and restricted cash, end of period	$ 48,167

See accompanying notes to Financial Statements.

Non cash transactions:

On December 31, 2024, the Company's sole shareholder, AXIS Specialty Insurance Company ("ASIC") novated all previously assumed affiliated reinsurance agreements to the Company. ASIC transferred and assigned all of its liabilities, obligations, rights and responsibilities under these novated quota share agreements to the Company. As a consideration for the transfer of ASIC's net reinsurance liabilities to the Company, ASIC transferred assets to the Company, predominantly fixed income securities, cash and cash equivalents and mortgage loans. The transfer of assets and liabilities forming part of the novation agreement and the related consideration was recorded at the carrying value of ASIC, the transferor, and no gain or loss was recorded by ASIC or the Company.

In December 2024 ASIC contributed $700,000 to the Company's Additional Paid-In Capital. This contribution was in the form of transfer of fixed income securities.

The book value of the assets transferred as part of the novation and capital contributions were:

Cash and cash equivalents	$ 47,167
Fixed maturities, available for sale, at fair value	2,176,635
Fixed maturities, held to maturity, at amortized cost	225,704
Mortgage loans, held for investments, at fair value	72,014
Short-term investments, at fair value	197
Accrued interest receivable	17,732

1. History

AXIS Specialty Insurance Limited (the "Company") was incorporated on August, 19, 2024 under the laws of Bermuda. The Company's sole shareholder, AXIS Specialty Insurance Company ("ASIC"), is a licensed insurance company domiciled in Connecticut. ASIC is a wholly owned subsidiary of AXIS Specialty U.S. Holdings, Inc. ("ASUSH"), a holding company domiciled in Delaware. ASUSH is a wholly owned subsidiary of AXIS Specialty Global Holdings Limited, a holding company incorporated in Ireland and a wholly owned subsidiary of AXIS Capital Holdings Limited ("AXIS Capital", the "ultimate parent company").

The Company is licensed under the Bermuda Insurance Act 1978, amendments thereto and related regulations, to write general business as a Class 4 insurer and commenced operations on December 31, 2024, providing reinsurance protection to U.S. domiciled affiliated companies through quota share agreements.

Effective December 31, 2018, ASIC began providing reinsurance protection to affiliated insurance companies domiciled and licensed in the U.S. through quota share agreements. On December 31, 2024, all affiliated reinsurance agreements were novated by ASIC to the Company.

2. Significant Accounting Policies

Basis of Presentation

These financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America ("U.S. GAAP").

Use of Estimates

The preparation of these financial statements requires management to make estimates and assumptions that affect the reported amount of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. While management believes that the amounts included in the financial statements reflect its best estimates and assumptions, actual results could differ from those estimates. The Company's principal estimates include:

- reserve for losses and loss expenses;
- gross premiums written and earned;
- fair value measurements of financial assets and liabilities; and
- the allowance for credit losses associated with fixed maturities, available for sale.

The Company's significant accounting policies are as follows:

a) Investments

Fixed Maturities, Available for Sale, at Fair Value and Fixed Maturities, Held to Maturity, at Amortized Cost

Fixed maturities classified as available for sale are reported at fair value (refer to Note 4 – Fair Value Measurements) and are presented net of an allowance for expected credit losses. The change in fair values of fixed maturities, net of tax, is recognized in accumulated other comprehensive income (loss) ("AOCI") in total shareholder's equity.

Fixed maturities are classified as held to maturity when the Company has the positive intent and ability to hold the securities to maturity or redemption. Fixed maturities classified as held to maturity are reported at amortized cost and are presented net of an allowance for expected credit losses.

Net investment income includes interest income and the amortization of market premiums and discounts and is presented net of investment expenses. Investment income is recognized when earned. Purchases and sales of fixed maturities are recorded on a trade-date basis and realized gains (losses) on sales of fixed maturities are determined based on the specific identification method. Realized gains (losses) on fixed maturities are included in net investment gains (losses) in the statements of operations.

The Company recognizes investment income from fixed maturities based on the constant effective yield method, which includes an adjustment for estimated principal repayments, if applicable. The effective yield used to determine the amortization of fixed maturities subject to prepayment risk (e.g. asset-backed, mortgage-backed and other structured securities) is recalculated and adjusted periodically based on historical and/or projected future cash flows. Adjustments to the yield for highly rated prepayable fixed maturities are accounted for using the retrospective method. Adjustments to the yield for other prepayable fixed maturities are accounted for using the prospective method.

2. Significant Accounting Policies (continued)

Credit Losses - Fixed Maturities, Available for Sale

A fixed maturity, available for sale security is impaired if the fair value of the investment is below amortized cost. On a quarterly basis, the Company evaluates all fixed maturities, available for sale securities for impairment losses.

If a fixed maturity, available for sale security is impaired and the Company intends to sell the security or it is more likely than not that the Company will be required to sell the security before its anticipated recovery, the full amount of the impairment loss is charged to net income (loss) and is included in net investment gains (losses).

In instances where the Company intends to hold the impaired fixed maturity, available for sale security the Company determines whether the decline in fair value below the amortized cost basis has resulted from a credit loss or other factors. If the Company does not anticipate to fully recover the amortized cost, an allowance for expected credit losses is established. The allowance for expected credit losses is limited to the difference between a security's amortized cost basis and its fair value. The allowance for expected credit losses is charged to net income (loss) and is included in net investment gains (losses).

On a quarterly basis, the Company assesses whether unrealized losses on fixed maturities, available for sale represent credit impairments by considering the following factors:

(i) the extent to which the fair value is less than amortized cost;
(ii) adverse conditions related to the security, industry, or geographical area;
(iii) downgrades in the security's credit rating by a credit rating agency; and
(iv) failure of the issuer to make scheduled principal or interest payments.

The length of time a security has been in an unrealized loss position no longer impacts the determination of whether a credit loss exists.

If a security is assessed to be credit impaired, it is subject to a discounted cash flow analysis by comparing the present value of expected future cash flows with the amortized cost basis. If the present value of expected cash flows is less than the amortized cost, a credit loss exists and an allowance for expected credit losses is recognized. If the present value of expected future cash flows is equal to or greater than the amortized cost basis, an expected credit loss does not exist.

The non-credit impairment amount of the loss (i.e., related to interest rates, market conditions, etc.) is recognized in other comprehensive income.

The Company reports accrued interest receivable related to available for sale debt securities separately and has elected not to measure an allowance for expected credit losses for accrued interest receivable. Write-offs of accrued interest receivable balances are recognized in net investment gains (losses) in the period in which they are deemed uncollectible.

Credit Losses - Fixed Maturities, Held to Maturity

A fixed maturity, held to maturity security is impaired if the fair value of the investment is below amortized cost. On a quarterly basis, the Company evaluates all fixed maturities, held to maturity securities for impairment losses.

2. Significant Accounting Policies (continued)

The Company's fixed maturity, held to maturity securities portfolio consists of asset-backed securities ("ABS") and corporate debt securities.

The Company's ABS, held to maturity consist of CLO debt tranched securities. The Company uses a scenario-based approach to review its CLO debt portfolio and reviews subordination levels of these securities to determine their ability to absorb credit losses of the underlying collateral. If losses are forecast to be below the subordination level for a tranche held by the Company, the security is determined not to have a credit loss.

To estimate expected credit losses for corporate debt securities, held to maturity, the Company's projected cash flows are primarily driven by assumptions regarding the severity of loss, which is a function of the probability of default and projected recovery rates. The Company's default and recovery rates are based on credit ratings, credit analysis and macroeconomic forecasts.

The allowance for expected credit losses is estimated based on the Company's analysis of projected lifetime losses. The allowance for expected credit losses is charged to net income (loss) and is recognized in net investment gains (losses). Any adjustment to the allowance for expected credit losses is recognized in the period in which it is determined.

Mortgage Loans, Held for Investments, at fair value

Mortgage loans, held for investment are reported at amortized cost which is calculated as the unpaid principal balance, adjusted for any unamortized premium or discount, deferred fees or expenses.

Interest income and prepayment fees are recognized when earned. Interest income is recognized based on an effective yield method which gives effect to the amortization of premiums and accretion of discounts.

Mortgage loans, held for investment are presented net of an allowance for expected credit losses. The allowance for expected credit losses is estimated based on the Company's analysis of projected lifetime losses. These projections take into account the Company's experience with credit quality indicators, loan losses, defaults, loss severity, and loss expectations for loans with similar risk characteristics. These evaluations are revised as conditions change and new information becomes available.

The allowance for expected credit losses is recognized in net investment gains (losses) in the statements of operations. Any adjustment to the allowance for expected credit losses is recognized in the period in which it is determined.

Short-Term Investments

Short-term investments primarily comprise highly-liquid debt securities with maturities greater than three months but less than one year from the date of purchase. These investments are carried at amortized cost, which approximates fair value.

b) Cash and Cash Equivalents

Cash equivalents include money-market funds, fixed interest deposits and reverse repurchase agreements with a maturity of under 90 days when purchased. Cash and cash equivalents are recorded at amortized

2. Significant Accounting Policies (continued)

cost, which approximates fair value due to the short-term, liquid nature of these securities. Restricted cash consists of cash and cash equivalents held in trust to secure obligations under reinsurance agreements.

c) Premiums and Acquisition Costs

Premiums

Reinsurance premiums are recorded at the inception of the contract based on estimates received from ceding companies.

For multi-year contracts reinsurance premiums are recorded at the inception of the contract based on management's best estimate of total premiums to be received. Premiums are recognized on an annual basis for multi-year contracts where the cedant has the ability to unilaterally commute or cancel coverage within the term of the contract.

Any adjustments to reinsurance premium estimates are recognized in the period in which they are determined.

Reinsurance premiums are earned evenly over the period during which the Company is exposed to the underlying risk, which is generally one to two years with the exception of multi-year contracts. Unearned premiums represent the portion of premiums which relates to the unexpired term under contracts in force.

Reinstatement premiums are recognized and earned at the time a loss event occurs and losses are recorded, where the coverage limits for the remaining life of the contract are reinstated under predefined contract terms. The recognition of reinstatement premiums is based on estimates of losses and loss expenses, which reflects management's judgment (refer to Note 2(d) – Losses and Loss Expenses below).

Insurance balances receivable ("premium balances receivable") are reviewed for impairment at least quarterly and are presented net of an allowance for expected credit losses. The allowance for expected credit losses is estimated based on the Company's analysis of amounts due, historical delinquencies and write-offs, and current economic conditions, together with reasonable and supportable forecasts of short-term economic conditions.

The allowance for expected credit losses is recognized in net income (loss). Any adjustment to the allowance for expected credit losses is recognized in the period in which it is determined.

Write-offs of premium balances receivable, together with associated allowances for expected credit losses, are recognized in the period in which balances are deemed uncollectible. The Company does not have a history of significant write-offs.

Acquisition Costs

Acquisition costs vary with and are directly related to the successful acquisition efforts of acquiring new or renewing existing insurance and reinsurance contracts and consist of ceding commissions paid under assumed affiliated quota share reinsurance agreements. These ceding commissions compensate the ceding company primarily for fees and commissions paid to brokers and premium taxes. The ceding commission also includes a percentage of the ceding company's reasonable actual costs for internal administrative and overhead expenses related to the policies. In addition, certain of the reinsured contracts include profit

2. Significant Accounting Policies (continued)

commission provisions or other adjustable features that are estimated based on expected losses and loss expenses for those contracts. Acquisition costs, with the exception of the Company's assumed share of the ceding company's reasonable actual costs for internal administrative and overhead expenses that are expensed immediately, are deferred and charged to net income (loss) as the related premium is earned. Insurance balances receivable are presented net of acquisition costs.

Anticipated losses and loss expenses, other costs and investment income related to these premiums are considered in assessing the recoverability of deferred acquisition costs. Deferred acquisition cost amounts that are assessed to be irrecoverable are recognized in net income (loss) in the period in which the determination is made. Compensation expenses for personnel involved in contract acquisition, and advertising costs, are charged to net income (loss) when incurred.

d) Losses and Loss Expenses

Reserve for losses and loss expenses represents an estimate of the unpaid portion of the ultimate liability for losses and loss expenses for insured and reinsured events that have occurred at or before the balance sheet date. These amounts reflect claims that have been reported (“case reserves”) and claims that have been incurred but not yet reported ("IBNR") and are reduced for estimated amounts of salvage and subrogation recoveries.

The Company reviews its reserve for losses and loss expenses on a quarterly basis. Case reserves are primarily established based on amounts reported by clients and/or their brokers. Management estimates IBNR after reviewing detailed actuarial analyses and applying informed judgment regarding qualitative factors that may not be fully captured in the actuarial estimates. A variety of actuarial methods are utilized in this process, including the Expected Loss Ratio, Chain Ladder and Bornhuetter Ferguson methods. The estimate is highly dependent on management’s judgment as to which method(s) are most appropriate for a particular accident/ underwriting year and line of business. Historical claims data may be supplemented with industry benchmarks when applying these methodologies.

Any adjustments to estimates of reserve for losses and loss expenses are recognized in the period in which they are determined. While the Company believes that its reserves for losses and loss expenses are adequate, this estimate requires significant judgment and new information, events or circumstances may result in ultimate losses that are materially greater or less than provided for in the balance sheets.

e) Foreign Currency Transactions

The functional currency of the Company is the U.S. dollar. Transactions in currencies other than the functional currency are initially measured in U.S. dollars at the exchange rate prevailing at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are remeasured to functional currency at the rates of exchange in effect at the balance sheet date with the resulting foreign exchange losses (gains) generally being recognized in the statements of operations. Foreign exchange losses (gains) related to available for sale securities denominated in foreign currencies represent an unrealized appreciation (depreciation) in the market value of the securities and are included in AOCI. Non-monetary assets and liabilities denominated in foreign currency are not subsequently remeasured.

2. Significant Accounting Policies (continued)

f) Novation assumption

On December 31, 2024, ASIC novated all previously assumed affiliated reinsurance agreements to the Company. ASIC transferred and assigned all of its liabilities, obligations, rights and responsibilities under these novated quota share agreements to the Company. As a consideration for the transfer of ASIC's net reinsurance liabilities to the Company, ASIC transferred assets to the Company, predominantly fixed income securities, cash and cash equivalents and mortgage loans. The transfer of assets and liabilities forming part of the novation agreement and the related consideration was recorded at the carrying value of ASIC, the transferor, and no gain or loss was recorded by ASIC or the Company.

g) Income Taxes

The Company is subject to taxation. Current and deferred income taxes are charged or credited to net income (loss), or in certain cases to AOCI, based on enacted tax laws and rates applicable in the period in which the tax becomes accruable or realizable. Deferred income taxes are provided for all temporary differences between the bases of assets and liabilities reported in the balance sheets and those reported in the relevant tax returns. When the assessment indicates that it is more likely than not that a portion of a deferred tax asset will not be realized in the foreseeable future, a valuation allowance against deferred tax assets is recorded. The Company recognizes the tax benefits of uncertain tax positions only when the position is more-likely-than-not to be sustained on audit by the relevant taxing authorities.

h) Recently Issued Accounting Standards Not Yet Adopted

Improvements to Income Tax Disclosures

In December 2023, the FASB issued ASU 2023-09 "Income Taxes (Topic 740) - Improvements to Income Tax Disclosures". The amendments in this Update provide more transparency about income tax information through improvements to income tax disclosures primarily related to the rate reconciliation and income taxes paid information as follows:

Income Taxes Paid

The amendments in this Update require that all entities disclose on an annual basis (1) the amount of income taxes paid (net of refunds received) disaggregated by federal (national), state, and foreign taxes and (2) the amount of income taxes paid (net of refunds received) disaggregated by individual jurisdictions in which income taxes paid (net of refunds received) if equal to or greater than 5 percent of total income taxes paid (net of refunds received).

Other Disclosures

The amendments in this Update require that all entities disclose (1) income (or loss) from continuing operations before income tax expense (or benefit) disaggregated between domestic and foreign and (2) income tax expense (or benefit) from continuing operations disaggregated by federal (national), state, and foreign.

The amendments in this Update eliminate the requirement for all entities to (1) disclose the nature and estimate of the range of the reasonably possible change in the unrecognized tax benefits balance in the next 12 months or (2) make a statement that an estimate of the range cannot be made.

2. Significant Accounting Policies (continued)

The amendments in this Update remove the requirement to disclose the cumulative amount of each type of temporary difference when a deferred tax liability is not recognized because of the exceptions to comprehensive recognition of deferred taxes related to subsidiaries.

The guidance is effective for annual periods beginning after December 15, 2024. Early adoption is permitted. The amendments should be applied on a prospective basis. Retrospective application permitted.

3. Investments

a) Fixed Maturities, Available for Sale

The amortized cost and fair values of the Company's fixed maturities classified as available for sale were as follows:

	2024				
	Amortized Cost	Allowance for expected credit losses	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Fixed maturities, available for sale:					
U.S. government and agency	$ 794,321	$ —	$ 2,778	$ (8,642)	$ 788,457
Corporate debt	600,785	(152)	2,736	(13,292)	590,077
Agency RMBS[1]	241,297	—	115	(13,069)	228,343
CMBS[2]	162,742	—	236	(9,443)	153,535
ABS[3]	381,504	—	1,345	(1,542)	381,307
Municipals[4]	37,187	—	—	(2,271)	34,916
Total fixed maturities, available for sale	$ 2,217,836	$ (152)	$ 7,210	$ (48,259)	$ 2,176,635

(1) Residential mortgage-backed securities ("RMBS") originated by U.S. government-sponsored agencies.
(2) Commercial mortgage-backed securities ("CMBS").
(3) Asset-backed securities ("ABS") include debt tranched securities collateralized primarily by auto loans, student loans, credit card receivables and collateralized loan obligations ("CLOs").
(4) Municipals include bonds issued by states, municipalities, and political subdivisions.

Contractual Maturities

Expected maturities may differ from contractual maturities because borrowers may have the right to call or prepay obligations with or without call or prepayment penalties. The contractual maturities of fixed maturities classified as available for sale are shown below:

	2024	
	Amortized Cost	Fair Value
Due in one year or less	$ 34,113	$ 33,876
Due after one year through five years	1,106,363	1,097,009
Due after five years through ten years	272,460	263,299
Due after ten years	19,357	19,266
	1,432,293	1,413,450
Agency RMBS	241,297	228,343
CMBS	162,742	153,535
ABS	381,504	381,307
Total	$ 2,217,836	$ 2,176,635

3. Investments (continued)

Gross Unrealized Losses

The following tables summarize fixed maturities classified as available for sale in an unrealized loss position at December 31, 2024, and the aggregate fair value and gross unrealized loss by length of time the security has continuously been in an unrealized loss position:

	2024					
	12 months or greater		Less than 12 months		Total	
	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses	Fair Value	Unrealized Losses
Fixed maturities, available for sale:						
U.S. government and agency	$ —	$ —	$ 231,457	$ (8,642)	$ 231,457	$ (8,642)
Corporate debt	—	—	368,782	(13,292)	368,782	(13,292)
Agency RMBS	—	—	218,655	(13,069)	218,655	(13,069)
CMBS	—	—	131,966	(9,443)	131,966	(9,443)
ABS	—	—	117,614	(1,542)	117,614	(1,542)
Municipals	—	—	33,891	(2,271)	33,891	(2,271)
Total fixed maturities, available for sale	$ —	$ —	$ 1,102,365	$ (48,259)	$ 1,102,365	$ (48,259)

At December 31, 2024, 625 fixed maturities were in an unrealized loss position of $48,259 of which $1,761 was related to securities below investment grade or not rated.

At December 31, 2024, there were no fixed maturities in a continuous unrealized loss position for 12 months or greater.

The unrealized losses of $48,259 were due to non-credit factors and were expected to be recovered as the related securities approach maturity.

At December 31, 2024, the Company did not intend to sell the securities in an unrealized loss position and it is more likely than not that it will not be required to sell these securities before the anticipated recovery of their amortized costs.

b) Fixed Maturities, Held to Maturity

The amortized cost and fair values of the Company's fixed maturities classified as held to maturity were as follows:

	2024					
	Amortized Cost	Allowance for expected credit losses	Net Carrying Value	Gross Unrealized Gains	Gross Unrealized Losses	Fair Value
Fixed maturities, held to maturity:						
Corporate debt	117,706	—	117,706	407	(7,764)	110,349
ABS[1]	107,998	—	107,998	197	(51)	108,144
Total fixed maturities, held to maturity	$ 225,704	$ —	$ 225,704	$ 604	$ (7,815)	$ 218,493

3. Investments (continued)

(1) Asset-backed securities ("ABS") include debt tranched securities collateralized primarily by collateralized loan obligations ("CLOs").

At December 31, 2024, fixed maturities, held to maturity of $225,704 were presented net of an allowance for expected credit losses of $nil.

The Company's ABS, held to maturity consist of CLO debt tranched securities. The Company uses a scenario-based approach to review its CLO debt portfolio and reviews subordination levels of these securities to determine their ability to absorb credit losses of the underlying collateral. If losses are forecast to be below the subordination level for a tranche held by the Company, the security is determined not to have a credit loss. At December 31, 2024, the allowance for credit losses expected to be recognized over the life of the Company's ABS, held to maturity was $nil.

To estimate expected credit losses for corporate debt securities, held to maturity, the Company's projected cash flows are primarily driven by assumptions regarding the severity of loss, which is a function of the probability of default and projected recovery rates. The Company's default and recovery rates are based on credit ratings, credit analysis and macroeconomic forecasts. At December 31, 2024, the allowance for credit losses expected to be recognized over the life of the Company's corporate debt, held to maturity was $nil.

Contractual Maturities

Expected maturities may differ from contractual maturities because borrowers may have the right to call or prepay obligations with or without call or prepayment penalties. ABS classified as held to maturity with a net carrying value of $107,998 do not have a single maturity date and cannot be allocated over several maturity groupings.

Corporate debt classified as held to maturity with a net carrying value of $27,500 is due between 1 year and 3 years, corporate debt classified as held to maturity with a net carrying value of $40,506 is due between 3 years and 5 years and corporate debt classified as held to maturity with a net carrying value of $49,700 is due between 5 years and 10 years.

c) Mortgage Loans

The following table provides details of the Company's mortgage loans, held for investment:

	2024	
	Carrying Value	% of Total
Mortgage loans held for investment:		
Commercial	73,451	102 %
Allowance for expected credit losses	(1,437)	(2)%
Total mortgage loans held for investment	$ 72,014	100 %

The primary credit quality indicators for commercial mortgage loans are the debt service coverage ratio which compares a property's net operating income to amounts needed to service the principal and interest due under the loan, (generally, the lower the debt service coverage ratio, the higher the risk of experiencing a credit loss) and the loan-to-value ratio which compares the unpaid principal balance of the loan to the estimated fair value of the underlying collateral (generally, the higher the loan-to-value ratio,

3. Investments (continued)

the higher the risk of experiencing a credit loss). The debt service coverage ratio and loan-to-value ratio, as well as the values utilized in calculating these ratios, are updated quarterly.

The Company has a high quality commercial mortgage loan portfolio with a weighted average debt service coverage ratio of 1.78x and a weighted average loan-to-value ratio of 72%. At December 31, 2024 , there were no past due amounts associated with the commercial mortgage loans held by the Company.

On a quarterly basis, the Company's exposure to commercial mortgage loans in the office sector, that represents 38% of the total mortgage loan portfolio, is evaluated for credit losses based on inputs unique to this sector. This assessment utilizes historical credit loss experience adjusted to reflect current conditions and management forecasts. Further, collateral dependent commercial mortgage loans (e.g., when the borrower is experiencing financial difficulty, including when foreclosure is reasonably possible or probable) are evaluated individually for credit losses. The allowance for expected credit losses for a collateral dependent loan is established as the excess of amortized cost over the estimated fair value of the loan's underlying collateral, less selling cost when foreclosure is probable.

Accordingly, any change in estimated credit losses is recognized as a change in the allowance for expected credit losses and is recorded in net investment gains (losses).

At December 31, 2024, the Company's mortgage loan portfolio had an allowance for expected credit losses of $1,437.

d) Restricted Investments

In order to support the Company’s obligations in regulatory jurisdictions where it operates as a non-admitted carrier, the Company provides collateral in the form of assets held in trust.

The fair value of the Company’s restricted investments primarily relates to the items, as noted in the table below. Restricted investments primarily consist of high-quality fixed maturity and short-term investment securities.

		2024
Collateral in Trust for inter-company agreements	$	1,970,142
Total restricted investments	$	1,970,142

4. Fair Value Measurements

Fair Value Hierarchy

Fair value is defined as the price to sell an asset or transfer a liability (i.e. the "exit price") in an orderly transaction between market participants. U.S. GAAP prescribes a fair value hierarchy that prioritizes the inputs to valuation techniques used to measure fair value. The hierarchy gives the highest priority to quoted prices in active markets and the lowest priority to unobservable data. The level in the hierarchy within which a given fair value measurement falls is determined based on the lowest level input that is significant to the measurement. The hierarchy is broken down into three levels as follows:

- Level 1 - Valuations based on unadjusted quoted prices in active markets for identical assets or liabilities that the Company has the ability to access.

- Level 2 - Valuations based on quoted prices in active markets for similar assets or liabilities, quoted prices for identical assets or liabilities in inactive markets, or for which significant inputs are observable (e.g. interest rates, yield curves, prepayment speeds, default rates, loss severities, etc.) or can be corroborated by observable market data.

- Level 3 - Valuations based on inputs that are unobservable and significant to the overall fair value measurement. The unobservable inputs reflect the Company's judgments about assumptions that market participants might use.

The availability of observable inputs can vary from financial instrument to financial instrument and is affected by a wide variety of factors including, for example, the type of financial instrument, whether the financial instrument is new and not yet established in the marketplace, and other characteristics particular to the transaction. To the extent that valuation is based on models or inputs that are less observable or unobservable in the market, the determination of fair value requires significantly more judgment.

Accordingly, the degree of judgment exercised by management in determining fair value is greatest for financial instruments categorized as Level 3. In periods of market dislocation, the observability of prices and inputs may be reduced for many financial instruments. This may lead the Company to change the selection of valuation technique (from market to cash flow approach) or may cause the Company to use multiple valuation techniques to estimate the fair value of a financial instrument. This circumstance could cause an instrument to be reclassified between levels within the fair value hierarchy.

4. Fair Value Measurements (continued)

Valuation Techniques

The valuation techniques, including significant inputs and assumptions generally used to determine the fair values of the Company's financial instruments as well as the classification of the fair values of its financial instruments in the fair value hierarchy are described in detail below.

Fixed Maturities

At each valuation date, the Company uses the market approach valuation technique to estimate the fair value of its fixed maturities portfolio, where possible. The market approach includes, but is not limited to, prices obtained from third party pricing services for identical or comparable securities and the use of "pricing matrix models" using observable market inputs such as yield curves, credit risks and spreads, measures of volatility, and prepayment speeds. Pricing from third party pricing services is sourced from multiple vendors, where available, and the Company maintains a vendor hierarchy by asset type based on historical pricing experience and vendor expertise. Where prices are unavailable from pricing services, the Company obtains non-binding quotes from broker-dealers who are active in the corresponding markets. The valuation techniques including significant inputs and assumptions generally used to determine the fair values of the Company's fixed maturities by asset class as well as the classifications of the fair values of these securities in the fair value hierarchy are described in detail below.

U.S. Government and Agency

U.S. government and agency securities consist primarily of bonds issued by the U.S. Treasury and mortgage pass-through agencies such as the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation and the Government National Mortgage Association. As the fair values of U.S. Treasury securities are based on unadjusted quoted market prices in active markets, the fair values of these securities are classified as Level 1. The fair values of U.S. government agency securities are determined using the spread above the risk-free yield curve. As the yields for the risk-free yield curve and the spreads are observable market inputs, the fair values of U.S. government agency securities are classified as Level 2.

Corporate Debt

Corporate debt securities consist primarily of investment-grade debt of a wide variety of corporate issuers and industries. The fair values of these securities are generally determined using the spread above the risk-free yield curve. These spreads are generally obtained from the new issue market, secondary trading and broker-dealer quotes. As the yields for the risk-free yield curve and the spreads are observable market inputs, the fair values of corporate debt securities are generally classified as Level 2. Where pricing is unavailable from pricing services, the Company obtains non-binding quotes from broker-dealers to estimate fair value. This is generally the case when there is a low volume of trading activity and current transactions are not orderly. In this event, the fair values of these securities are classified as Level 3.

4. Fair Value Measurements (continued)

Agency RMBS

Agency RMBS consist of bonds issued by the Federal National Mortgage Association, the Federal Home Loan Mortgage Corporation and the Government National Mortgage Association. The fair values of these securities are priced using a mortgage pool specific model which uses daily inputs from the active to be announced market and the spread associated with each mortgage pool based on vintage. As the significant inputs used to price these securities are observable market inputs, the fair values of Agency RMBS are classified as Level 2.

CMBS

CMBS mainly include investment-grade bonds originated by non-agencies. The fair values of these securities are determined using a pricing model which uses dealer quotes and other available trade information along with security level characteristics to determine deal specific spreads. As the significant inputs used to price these securities are observable market inputs, the fair values of CMBS are generally classified as Level 2. Where pricing is unavailable from pricing services, the Company obtains non-binding quotes from broker-dealers to estimate fair value. This is generally the case when there is a low volume of trading activity and current transactions are not orderly. In this event, the fair values of these securities are classified as Level 3.

ABS

ABS mainly include investment-grade bonds backed by pools of loans with a variety of underlying collateral, including auto loans, student loans, credit card receivables, and collateralized loan obligations ("CLOs") originated by a variety of financial institutions. The fair values of these securities are determined using a model which uses prepayment speeds and spreads sourced primarily from the new issue market. As the significant inputs used to price these securities are observable market inputs, the fair values of ABS are generally classified as Level 2. Where pricing is unavailable from pricing services, the Company obtains non-binding quotes from broker-dealers to estimate fair value. This is generally the case when there is a low volume of trading activity and current transactions are not orderly. In this event, the fair values of these securities are classified as Level 3.

Municipals

Municipals comprise revenue bonds and general obligation bonds issued by U.S. domiciled state and municipal entities. The fair values of these securities are determined using spreads obtained from the new issue market, trade prices and broker-dealers quotes. As the significant inputs used to price these securities are observable market inputs, the fair values of municipals are classified as Level 2.

4. Fair Value Measurements (continued)

Short-term Investments

Short-term investments primarily comprise highly liquid securities with maturities greater than three months but less than one year from the date of purchase. These securities are typically not actively traded due to their approaching maturity therefore, their amortized cost approximates fair value. The fair values of short-term investments are classified as Level 2.

The tables below present the financial instruments measured at fair value on a recurring basis at December 31, 2024:

December 31, 2024	Quoted Prices in Active Market for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	Total Fair Value
Asset				
Fixed maturities, available for sale				
U.S government and agency	$ 788,457	$ —	$ —	$ 788,457
Corporate debt	—	590,077	—	590,077
Agency RMBS	—	228,343	—	228,343
CMBS	—	153,535	—	153,535
ABS	—	381,307	—	381,307
Municipals	—	34,916	—	34,916
	788,457	1,388,178	—	2,176,635
Short-term investments	—	197	—	197
Total Assets	$ 788,457	$ 1,388,375	$ —	$ 2,176,832

Financial Instruments Disclosed, But Not Carried, at Fair Value

The fair value of financial instruments accounting guidance also applies to financial instruments disclosed, but not carried, at fair value, except for certain financial instruments, including insurance contracts.

At December 31, 2024, the carrying values of cash and cash equivalents including restricted amounts, accrued investment income, receivable for investments sold, certain other assets, payable for investments purchased and certain other liabilities approximated fair values due to their short maturities. As these financial instruments are not actively traded, their fair values are classified as Level 2.

At December 31, 2024, the carrying value of mortgage loans, held for investment, approximated fair value. The fair values of mortgage loans are primarily determined by estimating expected future cash flows and discounting them using current interest rates for similar mortgage loans with similar credit risk or are determined from pricing for similar loans. As mortgage loans are not actively traded, their fair values are classified as Level 3.

4. Fair Value Measurements (continued)

At December 31, 2024, the Company's fixed maturities held to maturity, were recorded at amortized cost with a carrying value of $225,704 and a fair value of $218,493. The fair values of these securities are determined using a model which uses prepayment speeds and spreads sourced primarily from the new issue market. As the significant inputs used to price these securities are observable market inputs, their fair values are classified as Level 2.

5. Reserve for Losses and Loss Expenses

Reserving Methodology

Sources of Information

The Company's loss reserving process begins with the collection and analysis of paid and incurred claim data. The data is disaggregated by line of business and further disaggregated by underwriting year and accident year. Underwriting year or accident year information is used to analyze the Company's business and to estimate reserves for losses and loss expenses. Lines of business are reviewed to ensure that the underlying contracts have homogeneous loss development characteristics, while remaining large enough to make the estimation of trends credible. The Company's lines of business are reviewed on a regular basis and adjusted over time as the Company's business evolves. The paid and incurred claim data serves as a key input to many of the methods employed by the Company's actuaries.

Actuarial Analysis

Multiple actuarial methods are available to estimate ultimate losses. Each method has its own assumptions and its own advantages and disadvantages, with no single estimation method being better than the others in all situations and no one set of assumption variables being meaningful for all lines of business. The relative strengths and weaknesses of the particular estimation methods when applied to a particular group of claims can also change over time.

The following is a brief description of the reserve estimation methods commonly employed by the Company's actuaries including a discussion of their particular strengths and weaknesses:

- *Expected Loss Ratio Method ("ELR Method")*: This method estimates ultimate losses for an accident year or underwriting year by applying an expected loss ratio ("ELR") to the earned or written premium for that year. Generally, expected loss ratios are based on one or more of (a) an analysis of historical loss experience to date, (b) pricing information and (c) industry benchmark information, adjusted as appropriate, to reflect premium rate changes, loss and exposure trends, and terms and conditions. This method is insensitive to actual incurred losses for the accident year or underwriting year in question and is, therefore, often useful in the early stages of development when very few losses have been incurred. Conversely, the lack of sensitivity to incurred/paid losses for the accident year or underwriting year in question means that this method is usually inappropriate in later stages of an accident year or underwriting year’s development.

5. Reserve for Losses and Loss Expenses (continued)

- *Loss Development Method (also referred to as the "Chain Ladder Method" or "Link Ratio Method")*: This method assumes that the losses incurred/paid for each accident year or underwriting year at a particular development stage follow a relatively similar pattern. It assumes that on average, every accident year or underwriting year will display the same percentage of ultimate losses incurred/paid at the same point in time after the inception of that year. The percentages incurred/paid are established for each development stage (e.g., 12 months, 24 months, etc.) after examining averages from historical loss development data and/or, in limited instances, external industry benchmark information. Ultimate losses are then estimated by multiplying the actual incurred/paid losses by the reciprocal of the established incurred/paid percentage. The strengths of this method are that it reacts to loss emergence/payments and that it makes full use of historical claim emergence/payment experience. However, this method has weaknesses when the underlying assumption of stable loss development/payment patterns is not valid. This could be the consequence of changes in business mix, claim inflation trends or claim reporting practices and/or the presence of large claims, amongst other things. Furthermore, this method tends to produce volatile estimates of ultimate losses where there is volatility in the underlying incurred/paid patterns. In particular, where the expected percentage of incurred/paid losses is low, small deviations between actual and expected claims can lead to very volatile estimates of ultimate losses. As a result, this method is often unsuitable at early development stages for an accident year or underwriting year.

- *Bornhuetter-Ferguson Method ("BF Method")*: This method can be seen as a combination of the ELR and Loss Development Methods, under which the Loss Development Method is given progressively more weight as an accident year or underwriting year matures. The main advantage of the BF Method is that it provides a more stable estimate of ultimate losses than the Loss Development Method at earlier stages of development, while remaining more responsive to emerging loss development than the ELR Method. In addition, the BF Method allows for the incorporation of external market information through the use of expected loss ratios, whereas the Loss Development Method does not incorporate such information.

As part of the loss reserving process, the Company's actuaries employ the estimation method(s) that they believe will produce the most reliable estimate of ultimate losses, at that particular evaluation date, for each line of business and accident year or underwriting year combination. Often, this is a blend (i.e. weighted average) of the results of two or more appropriate actuarial methods.

These ultimate loss estimates are generally utilized to evaluate the adequacy of ultimate loss estimates for previous accident or underwriting years, established in the prior reporting period. For the initial estimate of the current accident or underwriting year, the available claim data is typically insufficient to produce a reliable estimate of ultimate losses. As a result, initial estimates for an accident or underwriting year are generally based on the ELR Method for longer tailed lines and a BF Method for shorter tailed lines.

The initial ELR for each line of business is established by the Company's actuaries at the start of the year as part of the planning process, taking into consideration prior accident years' or underwriting years' experience and industry benchmark information, adjusted after considering factors such as loss and exposure trends, rate differences, changes in contract terms and conditions, business mix changes and other known differences between the current year and prior accident or underwriting years. The initial expected loss ratios for a given accident or underwriting year may be modified over time if the underlying assumptions, such as loss development or premium rate changes, differ from the original assumptions.

5. Reserve for Losses and Loss Expenses (continued)

Key Actuarial Assumptions

The use of the above actuarial methods requires the Company to make certain explicit assumptions, the most significant of which are expected loss ratios and loss development patterns and the Company relies on historical loss experience in establishing these assumptions. In establishing expected loss ratios for the insurance operations, consideration is given to a number of other factors, including exposure trends, rate adequacy on new and renewal business, ceded reinsurance costs, changes in claims emergence and the Company's underwriters' view of terms and conditions in the market environment. For the reinsurance operations, expected loss ratios are based on a contract-by-contract review, which considers information provided by clients together with estimates provided by the Company's underwriters and actuaries about the impact of changes in pricing, terms and conditions and coverage. Market experience for some lines of business as compiled and analyzed by an independent actuarial firm is also considered, as appropriate.

Reserving for Catastrophic Events

The Company cannot estimate losses from widespread catastrophic events, such as hurricanes and earthquakes, using the traditional actuarial methods described above. The magnitude and complexity of losses associated with certain of these events inherently increase the level of uncertainty and, therefore, the level of management judgment involved in arriving at estimated net reserves for losses and loss expenses. As a result, actual losses for these events may ultimately differ materially from current estimates.

Net reserves for losses and loss expenses related to catastrophes represent the Company's best estimate of losses and loss expenses that have been incurred at December 31, 2024. The determination of these net reserves for losses and loss expenses is estimated by management after a catastrophe occurs by completing an in-depth analysis of individual contracts which may potentially have been impacted by the catastrophic event. This in-depth analysis may rely on several sources of information including:

- estimates of the size of insured industry losses from the catastrophic event and the Company's corresponding market share;
- a review of the Company's portfolio of contracts to identify those contracts which may be exposed to the catastrophic event;
- a review of the Company's claims notifications;
- a review of modeled loss estimates based on information previously reported by customers and brokers, including exposure data obtained during the underwriting process;
- discussions of the impact of the event with customers and brokers; and
- catastrophe bulletins published by various independent statistical reporting agencies.

A blend of these information sources is generally used to arrive at aggregate estimates of the ultimate losses arising from the catastrophic event.

While the Company believes its estimate of net reserves for losses and loss expenses is adequate for losses and loss expenses that have been incurred at December 31, 2024 based on current facts and circumstances, the Company monitors changes in paid and incurred losses in relation to each catastrophe in subsequent reporting periods and adjustments are made to estimates of ultimate losses for each event if there are developments that are different from previous expectations. Adjustments are recorded in the period in which they are identified. Actual losses for these events may ultimately differ materially from the Company's current estimates.

5. Reserve for Losses and Loss Expenses (continued)

Selection of Reported Reserves - Management's Best Estimate

The Company's loss reserving process involves the collaboration of underwriting, claims, actuarial, ceded reinsurance and finance departments, including multiple committee meetings and culminates with the approval of a single point best estimate by the AXIS Group Reserving Committee, which comprises senior management. In selecting this best estimate, management considers actuarial estimates and applies informed judgment regarding qualitative factors that may not be fully captured in these actuarial estimates. Such factors include, but are not limited to: the timing of the emergence of claims, volume and complexity of claims, social and judicial trends, potential severity of individual claims and the extent of the Company's historical loss data versus industry information. While these qualitative factors are considered in arriving at the point estimate, no specific provisions for qualitative factors are established.

The following table presents a reconciliation of the beginning and ending gross reserve for losses and loss expenses and net reserve for unpaid losses and loss expenses for the period ended December 31, 2024:

	2024
Gross reserve for losses and loss expenses, beginning of period	$ —
Less: reinsurance recoverable on unpaid losses, beginning of period	—
Net reserve for unpaid losses and loss expenses, beginning of period	—
Net incurred losses and loss expenses related to:	
Current year	—
Prior years	—
	—
Net paid losses and loss expenses related to:	
Current year	—
Prior years	—
	—
Foreign exchange and other	1,690,744
Net reserve for unpaid losses and loss expenses, end of period	1,690,744
Reinsurance recoverable on unpaid losses, end of period	—
Gross reserve for losses and loss expenses, end of period	$ 1,690,744

On December 31, 2024, ASIC novated all previously assumed affiliated reinsurance agreements to the Company. ASIC transfered and assigned all of its liabilities, obligations, rights and responsibilities under these novated quota share agreements to the Company. As a consideration for the transfer of ASIC's net reinsurance liabilities to the Company, ASIC transferred assets to the Company, predominantly fixed income securities, cash and cash equivalents and mortgage loans. The novation included $1,690,744 of loss reserves assumed by the Company on December 31, 2024. The Company did not earn any premiums and did not incur any losses for the period ended December 31, 2024.

6. Commitments and Contingencies

a) Concentrations of Credit Risk

Credit Risk Aggregation

The aggregation of credit risk is monitored and managed on an AXIS Capital group-wide basis by considering exposure management strategies for individual companies, countries, regions, sectors and any other relevant inter-dependencies. Credit exposures are aggregated based on the origin of risk. Credit risk aggregation is also managed through minimizing overlaps in underwriting, financing and investing activities. As part of its credit aggregation framework, aggregate credit limits are assigned by country and by single counterparty (or parent of affiliated counterparties). These limits are based on and adjusted for a variety of factors, including the prevailing economic environment and the nature of the underlying credit exposures.

The credit aggregation measurement and reporting process is facilitated by a credit risk exposure database, which contains relevant information on counterparty details and credit risk exposures. The database is accessible by management throughout AXIS Capital, therefore providing transparency to allow for the implementation of active exposure management strategies on a group-wide basis. AXIS Capital also licenses third-party tools to provide credit risk assessment. AXIS Capital monitors all its credit aggregations on a group-wide basis and, where appropriate, adjusts its internal risk limits and/or takes specific actions to reduce risk exposures. These AXIS Capital group-wide processes include some entity level monitoring and limits.

The assets that potentially subject the Company to concentrations of credit risk consist principally of cash and investments, and insurance balances receivable and funds withheld, as described below.

Cash and Investments

In order to mitigate concentration and operational risks related to cash and cash equivalents, the Company limits the maximum amount of cash that can be deposited with a single counterparty and limits acceptable counterparties based on current rating, outlook and other relevant factors.

The Company's fixed maturities portfolio is exposed to potential losses arising from the diminished creditworthiness of issuers of bonds. The Company's investment portfolio is managed by external investment managers in accordance with its investment guidelines. The Company limits credit risk through diversification and issuer exposure limits graded by ratings and, with respect to custodians, through contractual and other legal remedies. Excluding Government and agency securities, the Company limits its concentration of credit risk to any single corporate issuer to 1% of its investment grade fixed maturities portfolio for securities rated A- or above and 0.5% of its investment grade fixed maturities portfolio for securities rated below A-.

At December 31, 2024, the Company was in compliance with these limits.

6. Commitments and Contingencies (continued)

Insurance Balances Receivable and Funds Withheld

The Company provides reinsurance protection to U.S. domiciled affiliated companies through quota share agreements and is exposed to significant concentration of credit risk with three affiliated companies. The Company has contractual rights to offset amounts receivable against amounts payable, including payments for losses and loss expenses in all assumed affiliated reinsurance agreements, mitigating the credit risk.

7. Shareholder's Equity

Share capital consists of 1,000,000 authorized common shares of a par value of $1.00 per share. As at December 31, 2024, 1,000,000 common shares were issued and fully paid.

In December 2024 ASIC contributed $700,000 to the Company's Additional Paid-In Capital. This contribution was in the form of transfer of fixed income securities.

8. Related Party Disclosure

On December 31, 2024, ASIC novated all previously assumed affiliated reinsurance agreements to the Company. ASIC transfered and assigned all of its liabilities, obligations, rights and responsibilities under these novated quota share agreements to the Company. As a consideration for the transfer of ASIC's net reinsurance liabilities to the Company, ASIC transferred assets to the Company, predominantly fixed income securities, cash and cash equivalents and mortgage loans.

The Company does not write any non-affiliated business and consequently all of the Company's gross written premiums, earned premiums, incurred losses and acquisition costs relate to assumed affiliated reinsurance agreements.

At December 31, 2024, insurance balances receivable from affiliates include $97,217 receivable under reinsurance arrangements that include quarterly settlement provisions. The balance also includes $74,116 receivable from ASIC as final settlement following the novation of affiliated reinsurance agreements. Funds withheld from affiliates represent funds withheld from AXIS Reinsurance Company under an assumed quota share reinsurance agreement that includes an interest provision at a rate of three month Secured Overnight Financial Rate plus 1.05%. For the year ended December 31, 2024, the Company recognized $nil interest income on the funds withheld balance.

A member of AXIS Capital’s Board of Directors, Mr. Charles Davis, is the Chief Executive Officer of Stone Point Capital, LLC ("Stone Point"). In the ordinary course of business, the Company engages SKY Harbor Capital Management, LLC, which is majority-owned by Stone Point's private equity fund Trident V L.P. ("Trident V"), to provide asset management services for certain high yield debt portfolios. For the year ended December 31, 2024, total fees paid to SKY Harbor Capital Management, LLC, were $nil.

9. Taxation

The Company is in the process of making an election to be treated as a U.S. taxpayer under section 953(d) of the Internal Revenue Code of 1986, as amended ("U.S. Internal Revenue Code"). The Company will be subject to tax in the U.S. in 2024 and in the U.S. and Bermuda in 2025, when applicable. Any U.S. tax incurred as a result of this election is expected to be fully creditable against the Bermuda corporate income tax.

10. Statutory Financial Information

The Company is licensed under the Bermuda Insurance Act 1978, amendments thereto and Related Regulations (the "Act") and is required to comply with various provisions of the Act regarding solvency and liquidity. Under the Act, the Company is required to maintain minimum statutory capital and surplus equal to the greater of a minimum solvency margin ("MSM") and an Enhanced Capital Requirement ("ECR"). The MSM is the greater of $100 million, 50% of net written premiums, 15% of the net reserve for losses and loss adjustment expenses or 25% of the ECR. The ECR is calculated based on a standard risk-based capital model developed by the Bermuda Monetary Authority and an Economic Balance Sheet ("EBS") framework, which is used as the basis to determine the required and available statutory capital and surplus. Actual and required minimum statutory capital and surplus at December 31, 2024 were as follows:

		2024
Required minimum statutory capital and surplus	$	736,892
Actual statutory capital and surplus	$	990,771

Under the Act, the Company is restricted as to the payment of dividends for amounts greater than 25% of the prior year's statutory capital and surplus, whereby a signed affidavit by at least two members of the Board of Directors attesting that a dividend in excess of this amount would not cause the company to fail to meet its relevant margins is required. The maximum dividend the Company could pay, without a signed affidavit, having met minimum levels of statutory capital and surplus requirements, was approximately $167,096.

In accordance with the Company's license under the Act, loss reserves are certified annually by an independent loss reserve specialist.

11. Subsequent events

On February 1, 2025 ASIC assigned and transferred all rights, title assets and obligations of a $80,000 promissory note (the "Note") receivable from AXIS Specialty U.S. Holdings, Inc as settlement for the balance owing following the the novation of affiliated reinsurance agreements (refer to Note 8 - Related Party Transactions). The Note matures on February 20, 2025 and bears interest at a rate of 4.68%. On February 19, 2025 the Note was amended to mature on February 20, 2027 with an interest rate of 4.34%.

On March 17, 2025 the Company applied to the U.S. Internal Revenue Service under Section 953(d) of the Internal Revenue Code of 1986, as amended, to be treated as a domestic corporation for U.S. federal tax purposes for its taxable year beginning August 19, 2024.